

the possibility of taking random trades decreases.

How to Finalize a Trading Strategy?

If you search for 'Intraday Strategy' on YouTube, you will get 1000s (if not millions) of videos explaining different day trading strategies. But most of these strategies are not backtested, or they would have been backtested for only a short period.

If you want to make money in the long run, you have to pick a trading strategy that shows positive results over a longer duration. I suggest backtesting a trading strategy across 10 years of historical data (minimum is 5 years). If the system gives positive results for 10 years of historical data, then there is a high probability of it providing profits in the future.

Below are the crucial parameters to analyze when you are assessing a trading strategy:

1 - Accuracy

If you are new to intraday trading, then please note this point - "There is no such thing as 90% Trading Accuracy."

Because in the uncertain world of intraday trading, it is impossible to come up with 90% accuracy without compromising other factors.

For example, I can say Buy Nifty at 16000, Target 16100, and stop-loss 12000. Only similar kinds of calls can generate over 90% accuracy. But do you think you will be able to make money with such calls?

Fact #1 - A good trading system will have only about 40-60% accuracy without compromising other factors.

2 - Profit Factor (PF)

It is similar to risk-reward. It is derived using the below formula:

Profit Factor = Total Profit by winning trades / Total loss by losing trades